

Zephirax Industrial Holdings, LLC AUDIT PLANNING INITIAL ENGAGEMENT AND OPENING BALANCES MEMO	WORKPAPER REF. PL-IEAO PREPARED BY: _____ DATE: _____ REVIEWED BY: _____ DATE: _____
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ENGAGEMENT SCENARIO	Initial Predecessor Access
ENGAGEMENT TYPE	Initial
PRIOR PERIOD STATUS	Audited
PREDECESSOR EXISTS	Yes
PREDECESSOR ACCESS	Granted
ACCOUNTING POLICIES	Consistent

This memo records the planned response to opening balances. Evidence availability does not mean the procedures have been performed; execution and conclusions belong in the audit documentation.

MATERIAL OR HIGH-RISK OPENING AREAS

Opening procedure 1 | Accounts receivable

OPENING BALANCE	386152.26
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Assertions: existence, valuation, rights

Evidence route: predecessor review and current corroboration

Planned procedure: Review predecessor workpapers and perform current-period corroboration: Test subsequent receipts and source invoices and recalculate the opening aging and allowance

Evidence available: Accounts receivable aging, Customer invoice, Predecessor workpaper access, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 2 | Accumulated depreciation

OPENING BALANCE	460680.60
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Assertions: existence, completeness, valuation

Evidence route: predecessor review and current corroboration

Planned procedure: Review predecessor workpapers and perform current-period corroboration: Inspect source support and reconcile the opening balance to subsequent activity

Evidence available: Opening account balance, Predecessor workpaper access, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 3 | Allowance for credit losses

OPENING BALANCE	62655.00
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Assertions: existence, completeness, valuation

Evidence route: predecessor review and current corroboration

Planned procedure: Review predecessor workpapers and perform current-period corroboration: Inspect source support and reconcile the opening balance to subsequent activity

Evidence available: Opening account balance, Predecessor workpaper access, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 4 | Cash

OPENING BALANCE	434278.16
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Assertions: existence, rights, completeness

Evidence route: predecessor review and current corroboration

Planned procedure: Review predecessor workpapers and perform current-period corroboration: Inspect opening bank statements, test subsequent clearing, and confirm accounts when necessary

Evidence available: Bank account, Bank statement month, Predecessor workpaper access, Prior period account balance, Prior period bank balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 5 | Debt

OPENING BALANCE	678738.33
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Assertions: completeness, rights, classification

Evidence route: predecessor review and current corroboration

Planned procedure: Review predecessor workpapers and perform current-period corroboration: Confirm lenders, inspect agreements and subsequent payments, and recompute amortization and classification

Evidence available: Debt instrument, Predecessor workpaper access, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 6 | Equity

OPENING BALANCE	950363.93
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Assertions: rights, classification, completeness

Evidence route: predecessor review and current corroboration

Planned procedure: Review predecessor workpapers and perform current-period corroboration: Inspect governing documents and minutes and recompute the prior close into opening equity

Evidence available: Fiscal close adjustment, Predecessor workpaper access, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 7 | Fixed assets

OPENING BALANCE	1166890.00
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Assertions: existence, rights, valuation

Evidence route: predecessor review and current corroboration

Planned procedure: Review predecessor workpapers and perform current-period corroboration: Inspect title and invoices, inspect selected assets, and recalculate accumulated depreciation

Evidence available: Fixed asset, Fixed asset depreciation, Fixed asset rollforward, Predecessor workpaper access, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 8 | Inventory

OPENING BALANCE	135920.18
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Assertions: existence, valuation, cutoff

Evidence route: predecessor review and current corroboration

Planned procedure: Review predecessor workpapers and perform current-period corroboration: Observe current inventory and roll back to opening, test cutoff and purchases, and reconcile production and margin

Evidence available: Goods receipt, Inventory item, Inventory rollforward, Predecessor workpaper access, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 9 | Revenue

OPENING BALANCE	0.00
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Assertions: existence, completeness, valuation

Evidence route: predecessor review and current corroboration

Planned procedure: Review predecessor workpapers and perform current-period corroboration: Inspect source support and reconcile the opening balance to subsequent activity

Evidence available: Opening account balance, Predecessor workpaper access, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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No opening-balance evidence limitation is identified at planning. Reporting impact remains subject to execution results.